

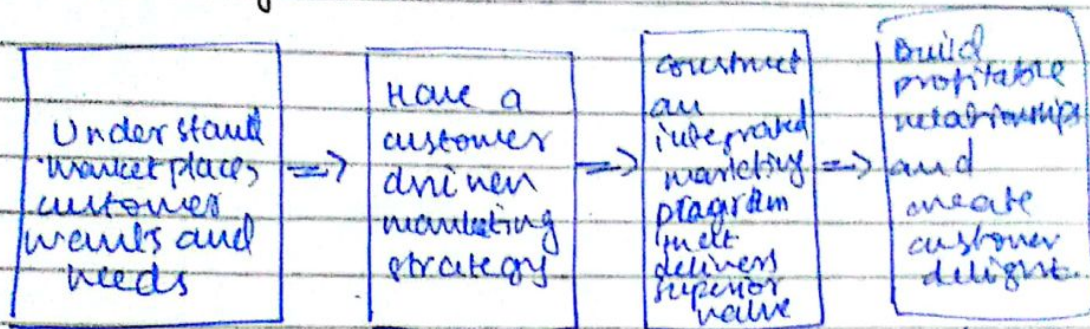
Marketing and Management

Chapter #1 (Notes)

Marketing (Define)

It is a process of creating value for customers to build strong relationships with them to then capture value from customers from return.

Marketing Process.



create value and build strong relationships

capture value to create profits and customer equity

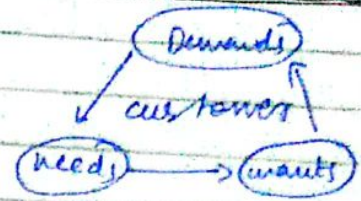
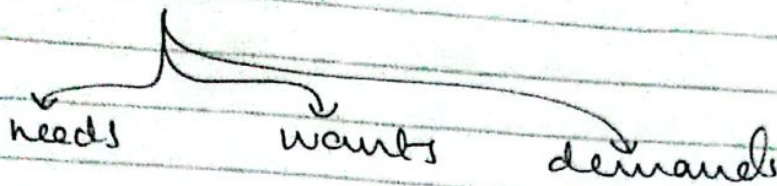
capture value in return

* Customer equity is the sum total estimated value of all of your customer relationships, usually calculated for a specific period of time.

=> A way of describing total potential financial profit that a customer brings in.

Understanding the Marketplace and Customer Needs

Customer



Needs

It is the basic human requirements which are essential for human beings to survive.

It can be categorised as:

- 1) Physical: for eg food, shelter, clothing
 - 2) Social: Belonging and affection
 - 3) Individual's knowledge and self-expression
- * Ornaments can come under a person's physical needs.

=> These are the types of products that do not require a push; instead the customer buys it themselves.

But in today's world with thousands of brands competing in the same categories with identical offerings satisfying the same needs, even the "needs category product" has to be pushed in customer's mind.

Wants → not essential for humans to survive.

Wants are the forms of human needs but they are shaped by culture.

↳ wants aren't permanent and it regularly changes, as time passes, people and location change, wants change accordingly. For eg. An Indian needs food but he may want Dosa or Paratha while an American may want a burger or a sandwich.

Demands:

Human wants backed by buying power.
⇒ wants turn to be Demands when a customer is willing and having the ability to buy that needs or wants.

↳ The difference between wants and demand is desire, a person may desire something but he may not be able to fulfil his desire.

for example: You might want a BMW for a car or an iPhone for a phone. But can you actually buy a BMW or an iPhone?

Market Offerings:

It is combination of products, services or experiences offered to a market to satisfy a need or a want.

Marketing myopia:

The mistake of paying more attention to the specific products a company offers than to the benefits and experiences produced by these products.

↳ Sellers lose sight of underlying customer needs.

In our marketers look beyond the attributes of the products and services they sell.

for eg. You just don't watch an IPL match, you immerse yourself in the whole experience of watching an IPL match.

Customer Value and Satisfaction.

Two types of Value

Desired value
What customers desire in a product or service.

Perceived value
It is the benefit that a customer believes he or she received from a product purchased.

Desired value = Perceived Value
↳ leads to customer satisfaction

Exchanges and Relationships

Exchange:

The act of obtaining a desired object from someone by offering something in return.

Relationships:

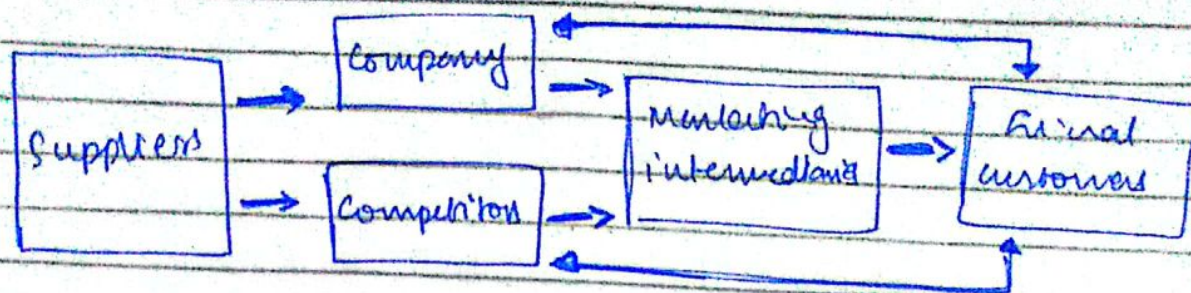
Marketing actions try to create, maintain, grow exchange relationships.

Markets

each party in the system adds value.

The set of actual and potential buyers of a product.

eg. Ford cannot deliver a high-quality car ownership experience unless its dealers provide outstanding service.



Designing customer driven Marketing strategy.
Marketing management

is a natural science of choosing target
So, what customers we will serve.

What's our target market?

What's our value proposition or positioning?

What is value proposition?

A simple statement that summarizes why a customer would choose your product or service

for eg:

Company: Uber

Value Proposition: Uber is the smartest way to get around. One tap and a car comes directly to you. Your driver knows exactly where to go and the payment is completely cashless.

① Selecting customers to serve. — helps to minimize risk

Marketing segmentation refers to dividing market into segments

* Target market is what customers we go after.

Benefits of Mkt:

- 1) Helps tailor marketing and boost engagement
- 2) Inform new product development
- 3) Reveals untapped niches
- 4) Improve focus
- 5) Inform business decisions.
- 6) Increases brand loyalty.
- 7) Helps brand stand out.

Example of Market segmentation.

↳ It has 5 types which include demographic, firmographic, psychographic, behavioral and geographic.

Demographic

- ↳ Age
- ↳ Gender
- ↳ Education
- ↳ Occupation
- ↳ Marital status
- ↳ Income
- ↳ Religion
- ↳ Ethnicity.

Firmographic

- ↳ Turnover and profit help identify how much and how many their product would reach now
- ↳ Industry
- ↳ Size of business
- ↳ no. of employees
- ↳ location
- ↳ ownership
- ↳ organizational trends
- ↳ Average sale cycles.

Psychographic

- ↳ hobbies
- ↳ values
- ↳ Life goal
- ↳ Beliefs etc

Behavioral

- ↳ Spending habits
- ↳ Browsing patterns
- ↳ Brand interaction
- ↳ Loyalty

Geographic

- ↳ Country
- ↳ State
- ↳ City
- ↳ Zip code
- ↳ Language
- ↳ Eco. status
- ↳ Regional climate

eg. Coca Cola.

Coca Cola uses every type of market segmentation to create products that appeal to every individual.

= from heavy calorie packaging to varying price points and even caffeine-free cola vs energy drinks.

② choosing Value Proposition.

A brand's value proposition is the set of benefits or values it promises to deliver to consumers to satisfy their needs.

eg - Apple "Think Different"

Marketing Management Orientation

① Production Concept:

low production costs, high production efficiency and mass production

eg. India and China have an abundance of manual labour with cheap labour costs. China has been producing more products using this, India is doing the same with its IT services.

② Product concept.

consumers will prefer products that have better quality, performance and features as opposed to a normal product.

eg - Apple's products are perceived to be very high quality with innovative features and great performance.

→ Apple works highly on product concept to pull in customers.

③ Selling Concept:

Takes an inside-out view that focuses on existing products and heavy selling.

^{men} Selling what the company makes rather than marketing what the customer wants.

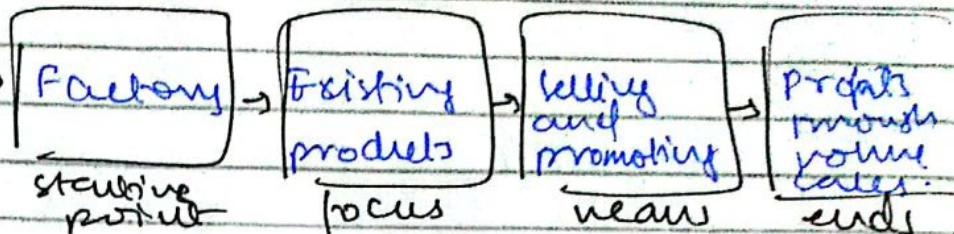
eg. Insurance companies spend a lot of budget on promoting insurance products and selling efforts are a very important part of it.

④ Marketing concept:

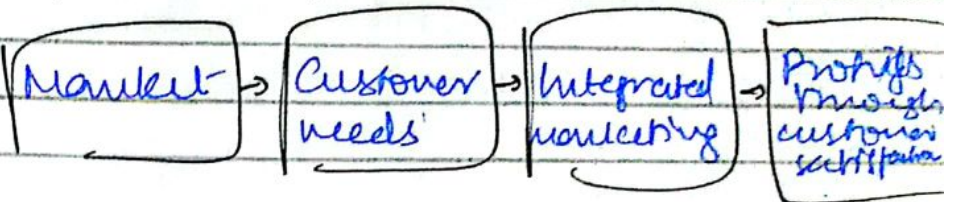
Takes an outside in view that focuses on customer needs as a path to profits.

For eg. Colce vs Pepsi war

The selling concept



The marketing concept



⑤ Social marketing concept

It holds that marketing strategy should deliver value to customers in a way that maintains or improves both the company's and society's well being.

For eg. Creating eco-friendly products.

③ Marketing Mix. (preparing an integrated marketing plan and program)

It is the set tools the firm uses to implement its marketing strategy.

4 P's.

Product

Price

Place

Promotion.

Each of the P's should be used to make a comprehensive integrated marketing program that delivers customer's desired

value.

(4) CRM (customer relationship management)

↳ It is the process of building and maintaining profitable customer relationship by delivering superior customer value and satisfaction

eg. Apple CRM

Apple does this by linking Apple ID accounts which are synchronized across devices which provides insights on what customers like and can be used for targeted marketing.

A. Relationship Building.

• A customer buys from the firm that offers the highest perceived value.

* Customer satisfaction depends upon product's perceived performance relative to buyer's expectations.
↳ if they are not met, customer is dissatisfied.

B. Customer Relationship levels and tools

• FMPs (frequency marketing program) $\Rightarrow$ rewards for customers who buy frequently or in large amounts

• CMPs (customer marketing programs) $\Rightarrow$ offer members special benefits and create member communities

C. Changing nature of customer relationships

Most marketers ^{don't} want relationship with every customer, they instead target fewer, more profitable customers

d. Relating more deeply and interactively.
↳ blogs, websites, online communities and social networks are used with it.

Consumer-generated marketing, by which customers play a huge role in shaping their own brand experience and of others.

e. Partner relationship management.

Besides being good at CRM, marketers need to be good at PRM

* working as a team with people inside and out the company.

⑤ Capturing Value from customers

Creating superior customer value leads to highly satisfied customers which raises more profits.

customer is always right

Creating Customer Loyalty and Retention
Customer lifetime value is the value of the entire stream of purchases that the customer would make over a lifetime of patronage.

Ownership share of Customer

The share they get of the customer's purchasing in their product categories.

Building Customer Equity.

It is the total combined customer lifetime values of the all the company's current and potential customer.

- Awareness
- Brand loyalty
- Perceived quality
- Loyalty

Changing Marketing Landscape

=> Digital Age

=> Growth for Not for Profit Marketing

=> Rapid Globalization

=> Sustainable Marketing.

Digital age has allowed for exciting new ways like to learn about and reach customers and create products tailored to individual customer needs.

For. machine learning is used.

The growth of NFP Marketing.

=> Marketing has become part of NFPs like colleges, hospitals, museums, zoo etc.

=> Gov. agencies has also shown increased interest in marketing.

Rapid Globalization.

* Each and every company faces global competition for eg. local OTT platform ^{over the top} standing competition from Netflix.

* Managers in companies now take in global view of company's industry, competitors and opportunities.

Sustainable marketing.

Consumerism and environmentalism have increases worldwide which calls for sustainable marketing practices (corporate ethics) to be a part of every business now.